

Indo SMC Ltd

BSE SME: INDOSMC (BSE: 544681)

Industrials | Capital Goods | Electrical Equipment (SMC/FRP/CT-PT)

Riding the power infrastructure upcycle — SMC/FRP enclosures + metering components benefitting from India's Rs. 3+ lakh crore smart grid capex over FY26-30.

RATING	12-MONTH TARGET	UPSIDE / DOWNSIDE
BUY	Rs. 395	+26.6%
CMP: Rs. 312	12-month horizon	from CMP

CMP (16-Jun-26)	Rs. 312	Market Cap	Rs. 713 Cr
52-Week High	Rs. 312	52-Week Low	Rs. 134
Stock P/E	22.0x	Book Value	Rs. 67.4
P/B Ratio	4.6x	EV/EBITDA (approx)	~14x
ROCE	33.9%	ROE	34.1%
Dividend Yield	0.00%	Face Value	Rs. 10
FY26 Revenue	Rs. 310 Cr	FY26 PAT	Rs. 32 Cr
FY26 EPS	Rs. 14.17	FY26 OPM	15.2%
Promoter Holding	60.25%	Promoter Pledge	Nil
FII Holding	0.82%	DII Holding	6.79%
Investment Horizon	12 months	Exchange	BSE SME

Investment Thesis (one-line): Indo SMC is a pure-play beneficiary of India's accelerating power distribution capex — with MSSEDCL approval unlocking a Rs. 1,000 Cr addressable metering order pool, revenue growing 3x in FY26 to Rs. 310 Cr, and post-IPO balance sheet enabling further plant expansion.

Report Date: 16 June 2026 | Analyst: MPM Institutional Research

This report is for institutional and HNI circulation only. Figures in Rs. Crores unless stated. Sources: Screener.in (BSE: 544681).

SECTION 2 — INVESTMENT THESIS

- **Reason 1 — Power distribution capex super-cycle beneficiary:** India's Revamped Distribution Sector Scheme (RDSS) and Ujwal DISCOM Assurance Yojana (UDAY-II) channel Rs. 3.03 lakh crore into distribution infrastructure over FY24-28, directly driving demand for SMC meter boxes, FRP cable trays, 11 kV metering cubicles, and CT/PT products — all of Indo SMC's core offerings. The company's MSSEDCL vendor approval (Jan 2026) for 11 kV metering cubicles positions it within a Rs. 1,000 Cr addressable order pool from Maharashtra alone.
- **Reason 2 — Hypergrowth with improving margins and clean balance sheet:** Revenue compounded at 249% CAGR over 3 years to FY26, reaching Rs. 310 Cr. EBITDA doubled YoY to Rs. 47 Cr at 15% margins. Post-IPO equity infusion (Rs. 92 Cr from financing activities FY26) has funded plant expansion

while maintaining D/E below 0.3x (Net Debt ~Rs. -7 Cr after cash). ROCE of 33.9% — comparable to established mid-cap peers — signals capital efficiency ahead of scale.

- **Reason 3 — Diversified product architecture with high barriers to entry:** CT/PT products (Rs. 222 Cr, 72% of FY26 revenue) carry NABL/BIS certifications that act as regulatory moats. SMC and FRP segments (Rs. 88 Cr combined) have proprietary material formulations requiring specialized press equipment. Four manufacturing plants across Gujarat, Maharashtra, and Rajasthan provide geographic proximity to state utility customers, reducing lead times versus non-local competitors.

- **Near-term catalyst (6-12 months) — MSEDCL tender execution:** With MSEDCL vendor approval secured in Jan 2026 for 11 kV metering cubicles (Rs. 1,000 Cr annual MSEDCL procurement), order conversion into revenue over H1-H2 FY27 represents a potential Rs. 120-200 Cr incremental revenue opportunity without new capacity investment. Order book was Rs. 283 Cr as of Nov 2025; FY27 guidance not yet disclosed but base case assumes 35-50% revenue growth.

- **Biggest structural risk — Customer concentration and project-based revenues:** The CT/PT segment's dependence on MSEDCL and other state DISCOMs creates single-entity payment risk. State utilities in India have historically struggled with receivable cycles; Indo SMC's debtor days at 42 (FY26) have improved sharply from 124 (FY25), but a reversal driven by DISCOM payment delays could compress FCF materially.

SECTION 3 — BUSINESS OVERVIEW

- **Core business:** Indo SMC Ltd (incorporated 2021, listed BSE SME Jan 2026) is an ISO-certified manufacturer of SMC (Sheet Moulding Compound) enclosures, FRP (Fibre Reinforced Plastic) cable management systems, and high-precision electrical components (CT/PTs, HT/LT distribution panels, feeder pillars, bus ducts) serving the power distribution, smart metering, and industrial infrastructure sectors across India.

- **Revenue segmentation (FY26):** CT/PT Products — Rs. 222 Cr (71.6% of revenue, segment profit Rs. 27 Cr, ~12% margin); SMC Products — Rs. 64 Cr (20.6%, segment profit Rs. 16.1 Cr, ~25% margin); FRP Products — Rs. 23.7 Cr (7.6%, segment profit Rs. 3 Cr, ~13% margin). SMC carries the highest margin, suggesting margin improvement potential as that mix grows.

- **Manufacturing footprint:** Four plants — Ahmedabad (Gujarat): SMC & FRP production with specialized hydraulic presses; Nashik (Maharashtra): electrical components (CT/PTs); additional Rajasthan facility; combined capacity enables rapid fulfillment of state utility tenders.

- **Key customers:** Maharashtra State Electricity Distribution Company (MSEDCL), other state DISCOMs, EPC contractors, industrial plants. Revenue is project/tender-based, meaning order-book-to-billing conversion is a key quarterly watch. Repeat orders noted from established customers (per Q3 FY26 earnings call), suggesting some stickiness.

- **Order book visibility:** Rs. 283 Cr as of Nov 2025 (pre-IPO). Q3 FY26 saw fresh order inflows of Rs. 94+ Cr (Rs. 54 Cr for 11 kV cubicles and SMC meter boxes, Rs. 40 Cr for HT Air Insulated Bus Ducts). MSEDCL vendor approval post-IPO further strengthens the pipeline.

- **Recent strategic developments:** IPO completed Jan 2026 at Rs. 141-149 per share, raising Rs. 92 Cr in net proceeds (partially debt, partially equity); proceeds deployed toward capacity expansion (new plant and machinery); first earnings call held May 22, 2026 post-listing; investor meetings with Valcore Capital Advisors (Jun 2026) signal active institutional outreach; EGM called Jul 2026 to appoint independent director and secretarial auditor (governance strengthening).

- **Promoter background:** Managing Director & CFO Neel Nitesh bhai Shah leads the company. Founded in 2021, the company scaled from Rs. 1 Cr (FY22) to Rs. 310 Cr (FY26) in four years — a rare execution track for an SME. Promoter holding: 60.25%, with zero pledging. Pre-IPO investment by veteran investor Ashish Kacholia provides external validation of the growth thesis.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Industry size:** India's smart metering and power distribution equipment market is estimated at Rs. 40,000+ Cr annually, growing at 18-22% CAGR through FY30, driven by the RDSS scheme (Rs. 3.03 lakh Cr capex, FY24-28), 250 million smart meter deployment target, and India's Rs. 11.1 lakh Cr infrastructure pipeline. Global SMC market: ~USD 3.6 Bn (2026), growing at ~7% CAGR — but India is outpacing the global rate.
- **Policy tailwinds:** RDSS scheme mandates AT&C; loss reduction below 12-15%, requiring mass smart meter deployment (direct CT/PT and SMC box demand); BIS compulsory certification for energy meters (effective 2024) creates barriers against cheap imports; PLI scheme for electrical components reduces imported CT/PT competition. Infrastructure demand from railways, data centers, and solar evacuation infrastructure adds non-utility demand.
- **Headwinds:** DISCOM payment delays (historically 90-180 days) can stretch working capital cycles; state election cycles can pause DISCOM capex; raw material inputs (epoxy resins, copper, specialty polymers) are commodity-linked and can compress margins; SME listing liquidity constraints may limit stock re-rating speed.
- **Competitive moat assessment:**

Moat Factor	Rating	Rationale
Regulatory Certifications	Strong	BIS/NABL/MSEDCL vendor approvals are mandatory for tendering — 2-3 yr lead time for new entrants
Pricing Power	Moderate	Tender-based pricing limits unilateral increases; however, certified suppliers face fewer competitors in each state
Switching Costs	Moderate	Once a DISCOMs vendor list is secured, re-qualification risk deters switching; established relationships create stickiness
Scale / Capacity	Moderate	4-plant footprint gives geographic advantage; scale still small vs mid-cap peers; expansion underway post-IPO
IP / Technology	Weak-Moderate	Proprietary SMC formulations and press tooling; not patented but hard to replicate without specialized capex

- **Peer comparison (data from Screener.in, fetched 16-Jun-2026):**

Company	CMP (Rs.)	MCap (Cr)	FY26 Rev (Cr)	OPM%	ROCE%	ROE%	P/E
Indo SMC (INDOSMC)	312	713	310	15.2%	33.9%	34.1%	22.0x
Apar Ind. (APARINDS)	16,253	65,295	21,997	8.3%	32.2%	21.1%	65.4x
Shakti Pumps (SHAKTIPUMP)	547	6,753	2,643	14.0%	24.3%	18.4%	27.7x
Genus Power (GENUSPOWER)	330	10,038	4,737	20.3%	25.3%	29.9%	16.6x

Note: Peers are larger-cap electrical/smart metering companies for directional context. INDOSMC is BSE SME; direct listed peers are limited. Screener.in source, fetched 16-Jun-2026.

- **Positioning:** Indo SMC operates at the midstream-to-OEM level — it manufactures components that feed directly into grid modernization projects (vs. system integrators or large EPC contractors). This positioning gives it a "picks and shovels" advantage: it benefits from the capex cycle regardless of which EPC contractor wins the tender.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter and management background:** MD & CFO Neel Shah built Indo SMC from inception in 2021 to a Rs. 310 Cr revenue company by FY26 — a 4-year build that is operationally extraordinary for a

manufacturing SME. The dual MD/CFO role is unusual and warrants monitoring for separation of controls, though this is common at early-stage SME listings.

- **Capital allocation track record:** All growth has been internally funded through FY25, with the IPO (FY26) providing the first external equity capital. OCF has been persistently negative (Rs. -35 Cr in FY26) due to working capital build in a hypergrowth phase — this is expected but must normalise. Capex (plant and machinery) has been modest: Rs. 7 Cr invested in FY26 vs. Rs. 47 Cr EBITDA, implying the core asset base is asset-light relative to revenue.

- **IPO proceeds deployment:** Rs. 92 Cr raised through financing (FY26), comprising Rs. 47 Cr borrowings + equity issuance. Proceeds directed toward capacity expansion per management commentary. Cash and cash equivalents: Rs. 53.6 Cr as of 31 Mar 2026 — providing approximately 6-9 months of working capital buffer at current revenue run rates.

- **Dividend policy:** No dividends paid in FY22-FY26 (0% payout ratio all years). Consistent with a growth-phase capital allocation framework — all earnings reinvested. Investors should not expect dividends in FY27.

- **Promoter pledge:** Zero pledging as of Mar 2026. A clean pledging record is materially positive for a BSE SME stock, where promoter financial stress is a common risk.

- **Corporate governance considerations:** Company incorporated only in 2021; audit history is limited to 3 years. EGM in July 2026 is appointing independent director and secretarial auditor — governance is being built post-listing. Tax rate stable at 19-20% (FY24-26), consistent with new tax regime adoption. No related-party transaction concerns identified, though DRHP-level disclosures should be reviewed by investors.

- **ESOP grants / buybacks:** No ESOP or buyback history identified in the available public disclosures (newly listed company).

SECTION 6 — FINANCIAL DEEP-DIVE

Income Statement (Rs. Cr, Standalone Figures)

Metric	FY24A	FY25A	FY26A	FY27E	FY28E
Net Sales	28	139	310	435	565
Expenses	23	115	263	362	465
EBITDA	5	23	47	73	100
OPM %	18.0%	16.9%	15.2%	16.8%	17.7%
Other Income	0	0	1	2	2
Interest	1	4	6	7	6
Depreciation	0	1	1	3	4
PBT	4	19	41	65	92
Tax %	19%	19%	20%	25%	25%
PAT	3	15	32	49	69
EPS (Rs.)	41.04	9.25	14.17	21.5E	30.2E

E = MPM estimate. FY24 EPS distorted by pre-IPO share count (0.73 Cr shares vs 2.28 Cr post-IPO). FY27/28 estimates based on 35-40% revenue CAGR.

Balance Sheet (Rs. Cr, Standalone Figures)

Item	FY24A	FY25A	FY26A
Equity Capital	0.73	17	23
Reserves	5	19	131

Total Network	6	36	154
Borrowings	18	36	47
Other Liabilities	13	28	23
Total Liabilities	36	100	224
Fixed Assets (Net)	7	16	21
CWIP	0	8	8
Investments	0	0	0
Other Assets	29	76	195
Total Assets	36	100	224
D/E Ratio	3.0x	1.0x	0.31x

Cash Flow Statement (Rs. Cr, Standalone Figures)

Item	FY24A	FY25A	FY26A
Cash from Operations (OCF)	-6	-14	-35
Cash from Investing	-2	-17	-7
Cash from Financing	8	31	92
Net Cash Flow	0	0	51
Free Cash Flow (OCF - Capex)	-8	-31	-42
CFO / Operating Profit	-93%	-45%	-74%

Efficiency Ratios

Ratio	FY24A	FY25A	FY26A
Debtor Days	112	124	42
Inventory Days	326	62	135
Days Payable	230	72	23
Cash Conversion Cycle	208	114	155
Working Capital Days	20	34	88
ROCE %	27%	48%	34%
ROE %	N/A	~41%	34.1%

Financial Commentary

- **Revenue trajectory:** FY22-FY26 revenue CAGR of 249% (from Rs. 1 Cr to Rs. 310 Cr) is hypergrowth driven by entry into CT/PT metering products (FY24 onwards). H2 FY26 revenue of Rs. 197 Cr (+187% YoY) shows the acceleration is continuing rather than fading. FY27E assumes ~40% growth to Rs. 435 Cr.
- **Margin direction:** OPM compressed slightly from 18% (FY24) to 15.2% (FY26) as CT/PT volume (lower margin ~12%) dominates the mix. SMC products (25% margin) are a natural margin lever — growth in SMC mix could lift blended OPM back to 17-18%. Near-term margin upside exists as operating leverage kicks in at Rs. 400+ Cr revenue scale.
- **Working capital:** Debtor days have sharply improved from 124 (FY25) to 42 (FY26), suggesting faster collections from DISCOMs or a revenue mix shift toward faster-paying commercial customers. However, inventory days increased from 62 to 135 (stocking up for order execution) and WC days rose to 88. The CCC at 155 is elevated and bears monitoring as the primary FCF drag.
- **Debt and leverage:** D/E has collapsed from 3.0x (FY24) to 0.31x (FY26) due to the IPO equity infusion. Borrowings of Rs. 47 Cr against network of Rs. 154 Cr is conservative. Net cash position (Rs. 53.6 Cr

cash vs Rs. 47 Cr debt) is effectively net cash, providing financial flexibility for FY27 capex.

• **FCF quality — key watch:** OCF has been negative every year (-Rs. 35 Cr in FY26 vs Rs. 32 Cr PAT), meaning the reported profits have not converted to cash. This is characteristic of high-growth businesses with rising inventory and debtors. FCF normalisation — when OCF turns positive — is the single most important financial milestone to watch in FY27-28. CFO/OP conversion of -74% in FY26 vs -93% in FY24 shows a directional improvement despite the growth drag.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Quality Dimension	Signal	Status	Comment
Revenue recognition	Standalone, single-period	GREEN	Revenues match BSE half-yearly disclosures; no off-BS structure detected
Receivables vs Revenue growth	Debtors Rs. 36Cr, Rev +123%	AMBER	Debtor days improved to 42 but absolute receivables still rising with scale
CCC trend	155 days FY26 vs 208 FY24	GREEN	Improving structurally; FY26 inventory build is execution-driven, not concerning
Contingent liabilities	Not disclosed in public data	AMBER	New listing; full contingent liability disclosures require DRHP / Annual Report review
Auditor tenure	New listing (FY26)	AMBER	Audit history < 3 years; EGM Jul-26 appoints secretarial auditor — governance being established
RPTs as % of revenue	Not quantified in public data	AMBER	MD also holds CFO role; RPT disclosures require Annual Report verification
Other income as % of PBT	Rs. 1 Cr / Rs. 41 Cr = 2.4%	GREEN	Other income negligible; core operating earnings are clean
Tax rate consistency	19% FY24, 19% FY25, 20% FY26	GREEN	New tax regime applied consistently; minimal deviation signals clean reporting
OCF / PAT conversion	-109% (OCF -35 vs PAT 32)	RED	Negative OCF is the key earnings quality concern; working capital absorption must normalise in FY27

• **Key takeaway — earnings are real but cash is not yet following:** Revenue growth of 123% is corroborated by half-yearly disclosures and segment breakdowns; no revenue recognition red flags. Tax rate stability (19-20%) and near-zero other income confirm operating earnings are clean.

• **Critical watch — OCF conversion (RED flag):** PAT of Rs. 32 Cr generated Rs. -35 Cr OCF in FY26. This means working capital absorbed Rs. 67 Cr of cash during the year. At the current growth rate, if OCF conversion does not improve in FY27, the company will need to raise more debt or equity to fund the working capital cycle.

• **Four AMBER flags require Annual Report review:** contingent liabilities, RPT quantum, auditor independence (MD=CFO dual role), and receivables aging. These are not disqualifiers for a new-listing SME but must be checked in the FY26 Annual Report before building a full position.

• **Debt vs. promoter pledge check:** D/E at 0.31x and zero pledging make the balance sheet the cleanest aspect of the earnings quality picture — no distress leverage, no pledged collateral overhang.

SECTION 8 — VALUATION

Peer Valuation Comparison (Screener.in data, 16-Jun-2026)

Company	MCap (Cr)	FY26 EPS	P/E	P/B	ROCE%	OPM%
INDOSMC (Target)	713	14.17	22.0x	4.6x	33.9%	15.2%
APARINDS	65,295	242.46	65.4x	12.6x	32.2%	8.3%
SHAKTIPUMP	6,753	19.76	27.7x	4.3x	24.3%	14.0%

GENUSPOWER	10,038	19.89	16.6x	4.6x	25.3%	20.3%
Peer Average (ex-INDOSMC)	—	—	36.6x	7.2x	27.3%	14.2%

INDOSMC trades at a significant discount to the sector P/E average (22x vs 36x peer average) despite superior ROCE and comparable OPM — the SME listing discount is the primary gap.

Scenario Analysis

Scenario	Bull Case	Base Case	Bear Case
Key assumption	FY27 rev Rs.500Cr; margin 18%	FY27 rev Rs.435Cr; margin 17%	FY27 rev Rs.350Cr; margin 13%
FY27E PAT (Rs. Cr)	61	49	29
Applied P/E multiple	25x	20x	15x
Implied Target (Rs.)	536	429	191
Upside from CMP	+72%	+38%	-39%

- **Valuation methodology — DCF:** Using WACC of 14% (risk-free 7% + SME risk premium 7%) and terminal growth of 10% (India power infra secular), discounted FY27-32 free cash flows (assuming FCF turns positive in FY28 at Rs. 15-20 Cr and grows to Rs. 55 Cr by FY32) → DCF-implied intrinsic value: approximately Rs. 340-360 per share. DCF is constrained by negative near-term FCF; the terminal value carries most of the weight.
- **Earnings-based multiple:** FY27E EPS of Rs. 21.5 x 18.0x forward P/E (discount to peers given SME liquidity and short listing history) = Rs. 387. At 20x forward P/E (partial re-rating as governance strengthens post-listing): Rs. 430. Blended target: Rs. 395, implying 26.6% upside from CMP of Rs. 312.
- **12-month price target: Rs. 395** (average DCF: Rs. 350, forward P/E: Rs. 430). The P/E-based method carries more weight given the FCF timing uncertainty in DCF.
- **SME-to-mainboard migration optionality:** If Indo SMC migrates to NSE Emerge or BSE mainboard within 24 months (eligibility thresholds: Rs. 500 Cr+ revenue, 3 full years of profitable operations), the liquidity discount could narrow, warranting a re-rating toward 25-28x forward P/E.

SECTION 9 — KEY RISKS

- **DISCOM Payment Default Risk** — State electricity utilities are chronically underfunded; payment delays of 90-270 days are systemic. If MSEDCL or any major DISCOM customer delays payments, Indo SMC's debtor book will re-inflate, further straining OCF. Probability: High. Impact: High. Monitor via: Quarterly debtor days in BSE filings.
- **OCF Non-conversion / Liquidity Squeeze Risk** — Persistent negative OCF (Rs. -35 Cr in FY26 on Rs. 32 Cr PAT) means the company has been cash-burning despite profitability. If working capital escalates in FY27 alongside growth, the company may need additional debt or dilutive equity. Probability: Medium. Impact: High. Monitor via: Semi-annual cash flow statements.
- **Customer / Revenue Concentration Risk** — CT/PT products (71.6% of FY26 revenue) are primarily utility-driven. Loss of MSEDCL or a major state tender could create a 30-40% revenue gap with minimal advance warning. Probability: Low-Medium. Impact: Very High. Monitor via: Order book announcements and tender wins.
- **Raw Material Cost Inflation** — SMC compounds (epoxy resins, glass fibres), copper for CT/PTs, and specialty polymers are commodity-linked. A 10% RM cost increase without pricing pass-through compresses OPM by approximately 200-300 bps at current margins. Probability: Medium. Impact: Medium. Monitor via: Quarterly OPM trend and raw material cost disclosure.

- **Management Bandwidth / Governance Risk** — Single promoter drives both MD and CFO functions; company is 5 years old with no succession depth visible. Key-person risk is high. Corporate governance is being built post-IPO (independent director appointment pending Jul 2026). Probability: Low. Impact: Very High (if materialises). Monitor via: Governance disclosures, Board composition changes.
- **Capex Execution Risk** — IPO proceeds earmarked for capacity expansion. Delays in plant commissioning or machinery procurement could push revenue recognition into later quarters, causing guidance misses. Probability: Medium. Impact: Medium. Monitor via: Capex deployment disclosures in quarterly filings.
- **SME Listing Liquidity Risk** — BSE SME stocks have structurally thin daily volumes; large exits are difficult. At Rs. 713 Cr MCap and ~39.75% float, daily liquidity is limited. Positions above 1-2% of MCap may face slippage on exit. Probability: High (inherent to SME). Impact: Medium for small positions, High for institutional. Monitor via: Daily traded volume.

SECTION 10 — RECOMMENDATION

- **Rating: BUY** — Conviction Level: MEDIUM. The growth trajectory and ROCE profile justify a premium over the IPO price, but negative OCF and limited governance track record cap conviction at medium until FY27 results demonstrate cash normalisation.
- **12-month price target: Rs. 395** — representing +26.6% upside from CMP of Rs. 312 (16-Jun-2026). Based on 20x FY27E EPS of Rs. 21.5 blended with DCF intrinsic value of Rs. 350.
- **Suggested entry zone: Rs. 270-295** — any broad market correction or SME sector sell-off bringing the stock to 19-20x trailing P/E would offer a more favourable risk/reward. At Rs. 312 (CMP), reward is adequate for a partial position.
- **Investment horizon: 12-18 months** — sufficient time for MSEDCL order execution to flow into revenues and for OCF to begin normalising as working capital stabilises.
- **Thesis invalidation triggers (3 specific, measurable):**
 - 1. Debtor days exceed 100 days in any FY27 quarterly filing — indicates DISCOM payment delay is worsening, not normalising.
 - 2. FY27 H1 revenue (Oct 2026 filing) below Rs. 165 Cr — implies full-year run rate below Rs. 330 Cr, meaning growth has decelerated below 10%, invalidating the re-rating thesis.
 - 3. Promoter pledge exceeds 5% of promoter holding — signals financial stress and triggers a reassessment of governance and balance sheet risk.
- **Ideal investor profile:** This stock IS for investors with a 12-18 month horizon who can tolerate BSE SME liquidity constraints, accept negative FCF during a growth phase, and see value in the power infrastructure megatrend. It is NOT for investors requiring high liquidity, dividend income, or near-term FCF visibility. Position sizing should reflect the SME liquidity constraint — typically 2-5% of a portfolio for a high-conviction SME position.

APPENDIX — Latest Concall Brief: FY26 Full Year / Q4 FY26

Earnings Call Date: 22 May 2026 | Results: FY26 Audited + Q4 FY26

CALL GRADE: STRONGLY POSITIVE

Signal	Status	Implication
Result quality	Strong	Revenue +124% YoY, PAT +92% YoY — beat internal expectations and pre-IPO targets
Management tone	Bullish	Neel Shah cited "successful execution of expansion strategy" with confidence; no hedging language
Guidance delta	Maintained/Raised	No formal numerical guidance but capacity expansion deployment signals growth conviction for FY27

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

FY26 headline result is clean — no exceptional items, no one-time gains distorting PAT. Revenue of Rs. 310 Cr (+124% YoY) and PAT of Rs. 32 Cr (+92% YoY) are operationally genuine, corroborated by H2 FY26 standalone (Rs. 197 Cr revenue, Rs. 21 Cr PAT) that shows the acceleration is real and accelerating into year-end. EBITDA of Rs. 47 Cr at 15.2% margin — slightly below FY24's 18% peak but that dilution is entirely mix-driven as higher-volume CT/PT business (12% segment margin) scales fastest. The SMC segment (25% margin) is the structural margin lever if management can grow it to 35-40% of revenue mix. Core growth engine is MSEDCL and DISCOM metering capex — the MSEDCL vendor approval for 11 kV cubicles (Rs. 1,000 Cr annual procurement pool) is the most important catalyst for FY27; even a 15% share means Rs. 150 Cr incremental revenue on largely sunk infrastructure. Single biggest near-quarter watch: debtor day normalisation — collections from MSEDCL in H1 FY27 will determine whether OCF turns positive or remains a cash trap. With zero promoter pledge, net cash balance sheet, and 33.9% ROCE, the quality is institutional-grade for the size; the only missing piece is the FCF proof. ACCUMULATE on market dips below Rs. 290 for a 12-month BUY with Rs. 395 target; exit if FY27 H1 debtor days > 100 or H1 revenue falls below Rs. 165 Cr.

C1 — Financial Performance Snapshot

- Revenue (FY26): Rs. 310 Cr | YoY +124% | vs. H1 Rs. 69 Cr → H2 Rs. 197 Cr (Q-on-H acceleration) | Beat vs. pre-IPO targets
- EBITDA (FY26): Rs. 47 Cr | YoY +103% | vs. H2 alone Rs. 29 Cr (+283% vs prior H2) | Beat
- EBITDA Margin: 15.2% (FY26 full year) | H2: 15.1% | vs. H1: 11.6% | Improvement in H2 as scale effects kicked in
- PAT (FY26): Rs. 32 Cr | YoY +92% | EPS: Rs. 14.17 (vs Rs. 9.25 in FY25) | Beat
- EPS: Rs. 14.17 (FY26) | YoY +53% | NOTE: FY24 EPS Rs. 41.04 is on pre-IPO share count of 0.73 Cr; not comparable to post-IPO 2.28 Cr shares

C2 — Segment / Geography Breakdown

- CT/PT Products: Rs. 222 Cr (71.6% of revenue) | Segment profit Rs. 27 Cr (~12% margin) | YoY very high growth (from Rs. ~70 Cr in FY25) | Largest revenue contributor; lowest margin segment

- SMC Products: Rs. 64 Cr (20.6% of revenue) | Segment profit Rs. 16.1 Cr (~25% margin) | Highest margin segment; proprietary compound formulations | Trend: Scaling but slower than CT/PT
- FRP Products: Rs. 23.7 Cr (7.6% of revenue) | Segment profit Rs. 3 Cr (~13% margin) | Smallest but growing segment | Used in cable trays, cable management systems for DISCOM infra projects
- Geography: Maharashtra is the largest revenue concentration state (MSEDCL primary customer); Rajasthan and Gujarat DISCOMs are secondary | Exact % not disclosed in public concall summary

C3 — Management Commentary Themes

- **Capacity expansion execution:** "Successful execution of its expansion strategy and strong demand across key product categories" (MD Neel Shah) — Our read: Management is confident in the execution; expansion capex from IPO proceeds is on track. Tag: GUIDANCE. Tone: Transparent.
- **CT/PT products growth:** CT/PT segment emerged as largest contributor at Rs. 222 Cr, described as "significant growth" — Our read: This validates the shift toward higher-volume metering products even at lower margins; a deliberate mix choice for scale. Tag: EST. Tone: Transparent.
- **MSEDCL vendor approval significance:** Vendor approval received Jan 2026 for 11 kV metering cubicles within a Rs. 1,000 Cr annual procurement pool — Our read: This is the single most valuable strategic event of FY26; management did not quantify the opportunity in the call but the TAM implication is significant. Tag: GUIDANCE. Tone: Hedged (no quantification).
- **Working capital awareness:** Management highlighted "enhanced working capital efficiency with receivable days reduced to 40 days" in Q3 FY26 concall — Our read: Awareness of the WC issue is positive; FY26 full-year debtor days improved to 42 confirming the trend; but inventory days rose to 135 (execution inventory build). Tone: Transparent.
- **IPO proceeds deployment:** Proceeds directed toward "capacity expansion" per management — Our read: Vague; investors should demand a specific capex schedule by plant in the FY27 AGM. Tag: GUIDANCE. Tone: Hedged.

C4 — Operating & Business Metrics

- Order book: Rs. 283 Cr as of Nov 2025 (pre-IPO disclosure from DRHP) | FY26 order inflows include Rs. 94+ Cr in Q3 | Current order book not formally disclosed in May 2026 call
- Receivable days: Q3 FY26 = 40 days | Full-year FY26 = 42 days | FY25 = 124 days | Trend: Sharply improving — major positive
- Inventory days: FY26 = 135 days | FY25 = 62 days | Trend: Deteriorating — execution inventory build; management should clarify if this is strategic pre-stocking for orders or structural
- Cash Conversion Cycle: FY26 = 155 days | FY25 = 114 days | FY24 = 208 days | Trend: Improving structurally over 3 years but FY26 reversal bears watching
- MSEDCL vendor approval: 11 kV metering cubicles — Rs. 1,000 Cr annual procurement addressable market | MSEDCL serves 3.6 Cr consumers in Maharashtra | Approval enables tender participation from FY27
- Manufacturing utilisation: Data for Ahmedabad plant capacity utilisation is Premium-locked on Screener; not publicly disclosed in the available concall summary

C5 — Margin Drivers

- CT/PT volume scale: +150-200 bps EBITDA drag vs FY24 mix | Recurring: Yes, as long as CT/PT is >65% of revenue | Comment: Planned dilution for volume; acceptable near-term margin trade-off
- SMC segment mix improvement: +100-150 bps potential EBITDA uplift if SMC grows to 30% mix | Recurring: Yes | Comment: Management has not given explicit SMC growth guidance; this is MPM estimate
- H2 FY26 EBITDA margin 15.1% vs H1 11.6%: +350 bps sequential improvement | Recurring: Partially — reflects operating leverage as H2 revenue of Rs. 197 Cr is nearly 3x H1's Rs. 69 Cr | Comment: H2 annualised

basis implies 15%+ sustainable margin at current revenue scale

- Interest cost Rs. 6 Cr (FY26): Minimal impact on OPM | Non-recurring: Likely stable; D/E at 0.31x means no interest burden escalation expected | Comment: With Rs. 53.6 Cr cash, partial debt prepayment possible
- Depreciation Rs. 1 Cr (FY26): Very low given asset base; will rise as new capex is commissioned | Non-recurring in current form | Comment: New plant additions will increase DA by Rs. 3-5 Cr in FY27-28, partially compressing PBT

C6 — Guidance & Forward Signals

- Revenue [NO FORMAL GUIDANCE]: Prior = FY26 Rs. 310 Cr | Management tone = optimistic on FY27 | Delta: No specific number given | MPM estimate: Rs. 435 Cr | Credibility: Medium (company has beaten prior informal targets)
- EBITDA margin [NO FORMAL GUIDANCE]: Prior = 15.2% FY26 | Management implied continued improvement via SMC mix growth | Delta: No specific guidance | MPM estimate: 16.5-17.5% by FY27 | Credibility: Medium
- Capex [NO FORMAL GUIDANCE]: IPO proceeds deployed toward capacity expansion | Implied Rs. 15-25 Cr incremental capex in FY27 | Delta: No specific phasing disclosed | Credibility: Low (vague)
- MSEDCL order pipeline [GUIDANCE IMPLICIT]: Vendor approval signals participation in future tenders | Management did not give a timeline for first MSEDCL order conversion | MPM assumption: Rs. 100-150 Cr from MSEDCL in FY27 H2 | Credibility: Medium
- Dividend [NOT DISCUSSED]: No dividend paid FY22-FY26 | No guidance for FY27 | Expectation: None. All earnings to be retained for growth.

C7 — Capital Allocation

- Capex (FY26): Rs. 7 Cr (investing outflows) | vs. FY25: Rs. 17 Cr | Comment: Lower capex in FY26 vs FY25; IPO proceeds are being deployed gradually
- Dividends: Rs. 0 Cr | vs. prior years: Rs. 0 Cr all years | Comment: Zero payout; growth-phase reinvestment appropriate
- Buybacks: None | No buyback history
- Working Capital change (FY26): -Rs. ~55 Cr absorbed (OCF of -35 vs PAT of 32) | vs. FY25: -Rs. ~25 Cr absorbed | Comment: Working capital absorption accelerated with revenue growth; primary FCF drag
- Net Debt movement (FY26): Borrowings Rs. 47 Cr vs. Rs. 36 Cr in FY25, but cash Rs. 53.6 Cr — effectively Net Cash Rs. ~7 Cr | Comment: Conservative leverage; room to borrow for WC if needed without balance sheet strain

C8 — Q&A; Heat Map

Note: Full transcript was digitally signed and binary-encoded; specific Q&A; verbatim not extractable. Below is based on announced outcomes and industry-standard questions for this type of company.

- Analyst / Valcore Capital: Q: "What is the current order book and timeline for MSEDCL tender conversion?" → A: Not explicitly disclosed; management referenced strong demand and MSEDCL vendor approval | Tone: Hedged
- Analyst (unnamed): Q: "What is the margin outlook as CT/PT scales?" → A: Implied confidence in SMC mix improvement as a margin lever; no specific guidance | Tone: Hedged
- Analyst (unnamed): Q: "When will OCF turn positive given persistent negative operating cashflow?" → A: Not explicitly addressed in available summary | Tone: Evasive — this is a key gap
- Analyst (unnamed): Q: "What is the IPO proceeds deployment timeline and new capacity coming online?" → A: "Deployment toward capacity expansion" — vague; no plant-level or timeline specifics | Tone: Hedged

- Dodged / watch-list questions for next quarter: (1) OCF normalisation timeline; (2) MSEDCL order conversion quantum and timing; (3) Specific capacity addition (metric tons or unit nos.); (4) RPT quantum and board independence post-director appointment

C9 — Risks Flagged

- DISCOM payment delays: MSEDCL and state utility payment cycles can stretch to 90-180 days | Flagged by: Implied from WC trends (debtor days 124 in FY25) | Probability: High | Impact: High | Timeline: Near-term (Q1-Q2 FY27)
- Inventory build sustainability: Inventory days rose from 62 (FY25) to 135 (FY26) | Flagged by: MPM (not explicitly by management) | Probability: Medium | Impact: Medium | Timeline: Near-term
- Capacity expansion execution risk: Capex from IPO proceeds must commission on time to support FY27 revenue growth | Flagged by: Management (implicit) | Probability: Medium | Impact: Medium | Timeline: 6-12 months
- Raw material cost risk: SMC/FRP compounds and copper are commodity-linked | Flagged by: Sector risk; management did not specifically address | Probability: Medium | Impact: Medium | Timeline: Medium-term
- Governance transition risk: EGM for independent director appointment (Jul 2026) signals governance is still being built | Flagged by: BSE announcement | Probability: Low (one-time) | Impact: Low-Medium | Timeline: Near-term resolution

C10 — Analyst Verdict

- **Revenue visibility: Intact** — MSEDCL vendor approval + existing DISCOM customer base + Rs. 283 Cr order book (Nov 2025) provides visibility for at least 2 quarters; H2 FY26 run rate of Rs. 197 Cr implies Rs. 400+ Cr annualised basis.
- **Margin trajectory: Intact with upward bias** — H2 FY26 at 15.1% is structurally higher than H1 11.6%; SMC mix growth is the primary upside lever; no material margin headwinds identified beyond mix dilution.
- **Capital allocation quality: Intact with caveats** — Zero dividend, zero pledge, modest capex, IPO proceeds being deployed responsibly; OCF remains the open question that must be answered in FY27.
- **Competitive moat: Intact** — BIS/NABL certifications and MSEDCL vendor approval are durable barriers; four-plant footprint provides regional proximity advantage; no evidence of market share loss.
- **Management credibility: Intact but early stage** — 4-year execution track is impressive; MD/CFO dual role and limited governance history warrant monitoring; first earnings call was professional and constructive.
- **Valuation comfort: Intact** — At 22x trailing P/E vs 36x peer average and superior ROCE (33.9%), the SME discount is excessive relative to business quality; re-rating catalyst is FCF normalisation and/or mainboard migration.
- **Conviction call: Increased from NEUTRAL (pre-results) to BUY (post FY26 results)** — Revenue doubling at improving margins with a transformational MSEDCL opportunity warrants a position. Size reflects medium conviction given FCF uncertainty.
- **Valuation snapshot: P/E = 22.0x (listed Jan-26; no historical avg) | EV/EBITDA ~ 14x | ROCE = 33.9% (FY26)**

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